The Proof That Falls Every Morning

About three hundred payment firms in Canada hold money that belongs to their clients. Since September 2025 each one has to prove every day that the money is all there. Most of them do it in a spreadsheet. We built the tool that does the check and keeps the proof.

1 The four numbers that matter

~300	365	$10M	0
FIRMS THAT CARRY THE DUTY TODAY	TIMES A YEAR THE DUTY FALLS	TOP FINE FOR ONE BAD BREACH	TOOLS BUILT FOR THIS RULE

Where the four numbers come from.

~300

The count of three hundred is the Bank of Canada list of payment firms, put out in October 2025. More than fifteen hundred more firms are still waiting on their answer.

365

The daily rule is the Retail Payment Activities Act, in force on 8 September 2025.

$10M

The ten million dollars is the top fine in that Act, and it is charged for each breach rather than each year.

0

The zero is our own count, from the vendor scan behind this brief.

2 How this brief is set out

 Every figure is Canadian unless it says otherwise beside the figure. Figures drawn from the financial model of 5 August 2026, base case.

3 Words used in this document

These are the only special words in this brief, and nothing later uses one that is not here. They are set out in the order you meet them.

EVERY TERM USED IN THIS BRIEF, IN PLAIN WORDS

Trust account. A bank account holding money that belongs to somebody else. A lawyer holding your house deposit is the everyday example.

Payment company. A business that holds or moves money for other people without being a bank. Payroll firms, money transfer apps and gift card companies. These are our first customers.

Safeguarding. Keeping customer money apart from the company's own money, and being able to prove it.

Reconciliation. Checking two lists against each other. What a company says it holds for customers, against what the bank says is in the account.

Registration. Government permission to operate. A company applies and the regulator decides. Some are turned down.

Regulator. The government body that writes the rules and checks that a company follows them. Ours is the Bank of Canada.

Examiner. The person from the regulator who asks to see the records, usually about a date in the past.

Independent review. An outside firm checking the records. The first one falls due in September 2028 and it looks back three years.

Penalty ceiling. The largest fine a regulator can hand out for one breach. Here it is one million dollars for a serious one and ten million for a very serious one.

Recurring revenue. Money that comes in every year without having to sell it again. It is what a software company is valued on.

Runway. How many months of costs the money in the bank covers.

Pre-seed and seed. The first and second rounds of money a company raises. The first builds the product. The second grows it.

SAFE. A way of putting money in now and setting the price later, at the next priced round. It avoids arguing about the value of a company with no revenue yet.

4 The dates the law has already fixed

Thirty six months of proof stand between the day the duty started and the first outside check.

Eleven months already gone
A month not kept cannot be made up later.

Twenty five months a firm can still keep
This is the part we sell into.

8 September 2025
the duty starts

5 August 2026
today

8 September 2028
the first outside check

One block is one month, and every block is the same size. The grey run is the eleven months since the duty started, and most firms kept nothing across them. The navy run is what a firm can still hold on to before an outside reviewer reads the whole three years. Source: Retail Payment Activities Act, in force 8 September 2025, and the review duty in the rules made under it.

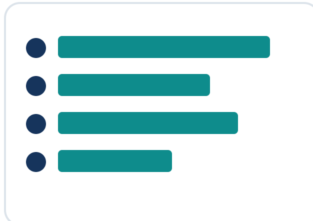
5 The duty, drawn in one picture

The duty falls every morning, it belongs to the firm itself, and no bank can take it on.

1 WHAT A FIRM HOLDS

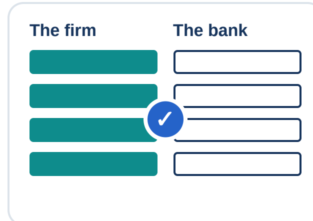
Money held for clients, in one account.

2 WHO IT BELONGS TO



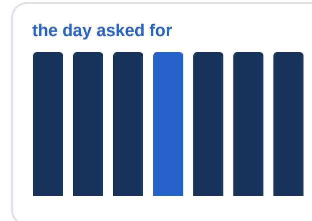
Every block has an owner, and it is theirs, not the firm's.

3 THE DAILY CHECK



The two totals must agree, and a gap is flagged.

4 WHAT IT PROVES

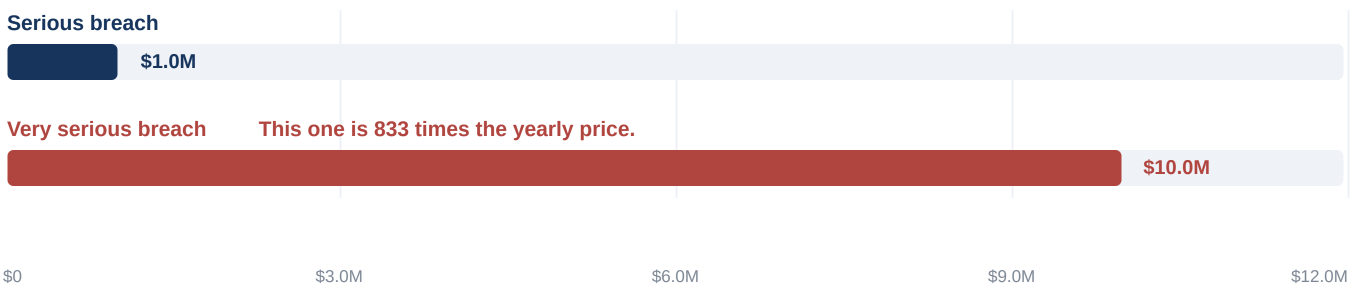


One record a day, added and never changed.

Read it left to right: a payment firm holds money that belongs to its clients. Since 8 September 2025 the Bank of Canada has made it know, every single day, whose money it holds and how much. It has to check that against the bank account the money sits in. It has to hand the proof over when asked. **Every special word in this brief is set out on page two**, and nothing here uses a word that is not there.

6 What one breach costs, against what we charge

The top fine for one very serious breach is $10,000,000. The first product costs $12,000 a year.



Both bars start at zero and share one straight scale. Two smaller amounts belong beside this chart and are far too small to draw next to ten million: a late notice or report runs $500 a day, or $15,000 over thirty days, and the first product costs $12,000 a year. That price is 1.2% of one serious fine, for a duty done three hundred and sixty five times a year. Source: Bank of Canada, fine policy for retail payments, in Canadian dollars. Most of these firms also carry a money laundering duty under a second law, where the top fine rose to twenty million dollars on 26 March 2026.

The two fine levels in the chart, and the price beside them.

- **Serious breach.** A duty missed, where one million dollars is the top fine for each one.
- **Very serious breach.** A duty missed in a way that puts client money at risk.
- **Yearly price.** What the first product costs one firm for a whole year of the daily check.

7 Why the door is open now

1 Rule eleven months old

No firm is locked into a deal yet and there is no buying history to argue with. That will not last, so the order of our steps matters most.

2 Buyers sit on a public list

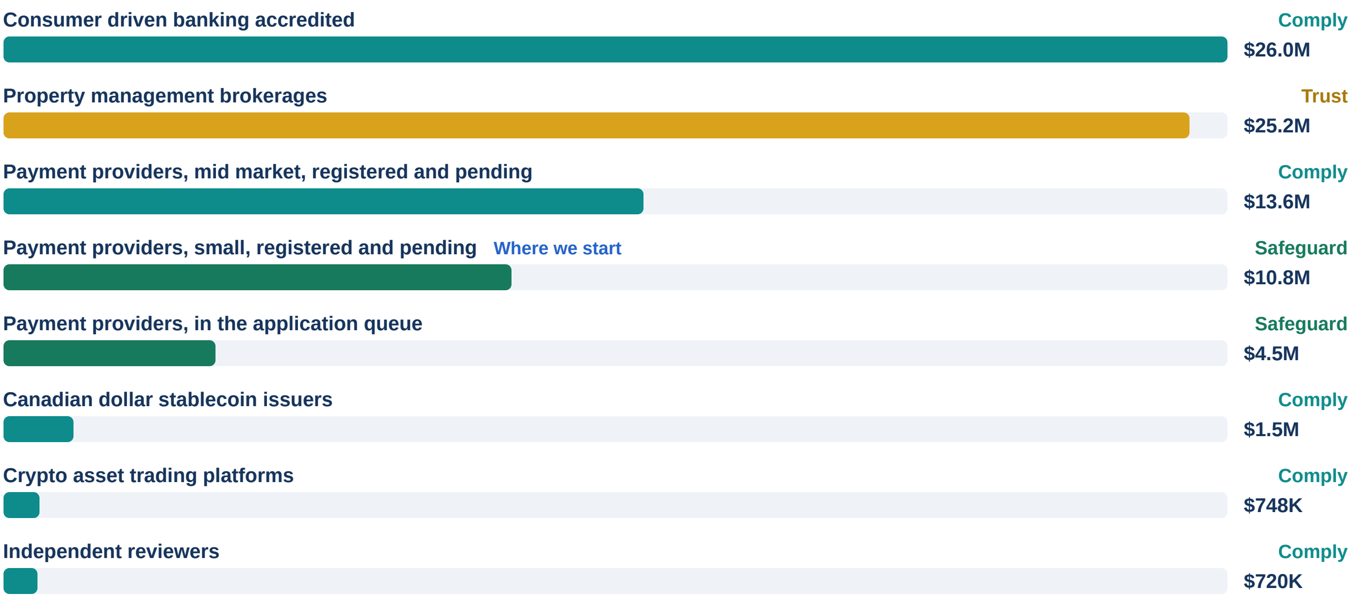
The Bank of Canada puts out the list of firms, with names on it. There is no list broker to pay and no cold market to work out.

3 First outside checks are dated

Every firm owes an outside check of its set-up by 8 September 2028. That check reads three years of proof, and proof never kept cannot be made later.

8 Who buys, and how large each group is

The eight groups are worth $83.1M a year together, and we start in the $10.8M group.



This is a ceiling, not a plan. The coloured word beside each group is the product that group buys. Four of the eight counts come from a public body and three are our own guess. The plan reaches 411 clients by 2031, or 6.8% of the firms that owe the duty, and every figure is Canadian.

9 What a client pays

FIRST PRODUCT
Safeguard
$12,000 a year
The daily record of whose money is whose, priced under the level where anyone writes a business case.

FULL DUTY SET
Comply
$33,996 a year
Eight more duties under the same law, sold into a login already there.

SECOND MARKET
Trust
$7,200 a year
The monthly trust check for property firms, on the same software, through an owner network we hold.

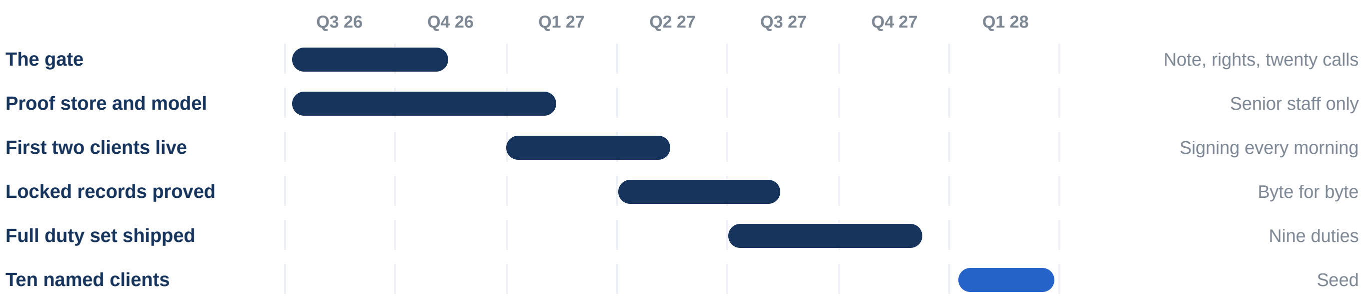
10 What one client is worth

PER CLIENT. EACH ROW CARRIES ITS OWN UNIT	2026	2027	2028	2029	2030	2031
Yearly fee per client · CA$	**$12,000**	**$13,000**	**$16,652**	**$19,209**	**$20,961**	**$22,337**
Cost to win one client · CA$	**$5,600**	**$3,144**	**$3,555**	**$5,291**	**$7,286**	**$10,112**
Lifetime value of one client · CA$	**$61,543**	**$83,859**	**$121,734**	**$145,048**	**$159,076**	**$169,269**
Value against the cost to win · times	**11.0×**	**26.7×**	**34.2×**	**27.4×**	**21.8×**	**16.7×**
Months to earn that cost back · months	**10.9**	**4.5**	**3.5**	**4.4**	**5.5**	**7.2**
Clients needed to cover our costs · count	**74**	**116**	**145**	**181**	**226**	**266**

Source: 4orm Finance master pro forma, base case, in Canadian dollars. Unit tab, every figure worked out rather than typed. Sales pay sits in team pay, so the true cost of winning a client is above the line shown. The year 2026 is five months long and does not compare with the years after it. The usual tests are three times the cost to win, and money back inside about eighteen months.

11 What the pre-seed buys, on dates

The first two clients sign in the first quarter of 2027, and ten are live before the seed.



The gate is the design note, the sign over of all we build to 4orm, and twenty calls off the public list. All three fall before any money moves. **Locked records proved** means two copies of the same period, taken a year apart and matched byte for byte by a test rather than a line in a form. **Ten companies paying and live by early 2028. Everything else in the plan follows that one number.**

12 Who builds it

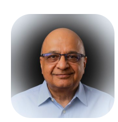
Chad R. Johnston
Founder and chief

Kevin Wong
Co-founder, sales

Michael Stephens
Counsel · Fasken

James Atherton
Markets counsel

Bruce Fair
Capital markets



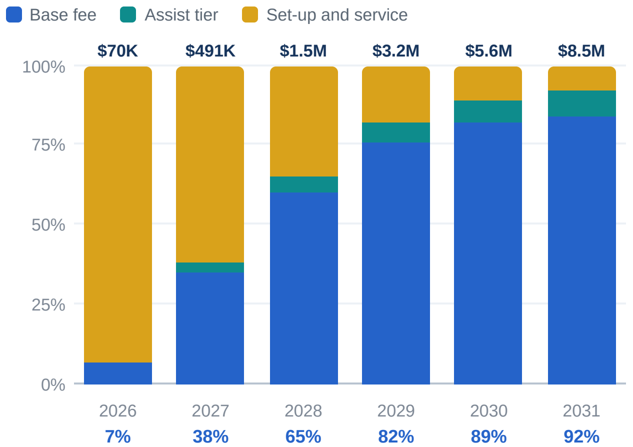
Zahiruddin Sandeela
Systems design

Dean McCall
Growth

Two founders and five advisors, each taken on for a named skill rather than a title. Speer Technologies is the build partner, a named bench of nine working to our design and our tests. **For two of us, controls used to mean life safety**: oil and gas work on one side, systems work at WorkSafe BC on the other.

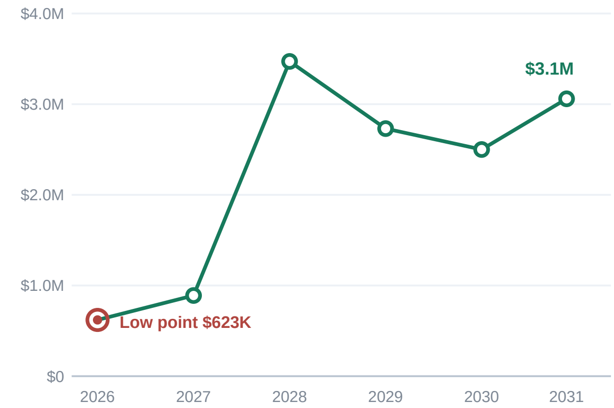
13 The model, drawn before it is tabled

Fees paid every year grow from 7% of sales to 92%.



Each bar stands full height, so the mix in the first three years reads as well as the last three. **The share paid every year is printed under each year in blue**, and the number above each bar is that year's sales.

Cash never falls under $622,755 in any year of the plan.



The low point is the end of 2026, marked in red. Cash at the end of 2027 covers 4.1 months of 2028 cost. That is the tightest stretch, and the reason a $500,000 loan facility sits behind it, switched off in every figure here.

14 The same six years as a table

EACH ROW CARRIES ITS OWN UNIT	2026	2027	2028	2029	2030	2031	TOTAL
Sales · CA$ millions	0.07	0.49	1.47	3.17	5.60	8.47	19.27
Fees on the books at year end · CA$ millions	0.02	0.35	1.53	3.53	6.18	9.18	9.18
Grants and other free money · CA$ millions	0.01	0.29	0.21	0.20	0.06	0.00	0.78
Earnings before tax and interest · CA$ millions	(0.43)	(0.73)	(0.92)	(0.74)	(0.24)	0.56	(2.49)
Cash in the bank at 31 December · CA$ millions	0.62	0.89	3.47	2.73	2.50	3.06	
Gross margin · per cent	51%	65%	73%	76%	76%	76%	75%
Clients live at year end · count	2	27	92	184	295	411	411
Staff at year end · count	3	6	11	15	19	23	23

Source: 4orm Finance master pro forma, base case, in Canadian dollars. The model runs to twenty two tabs. Gross margin is what is left of each sales dollar after the cost of serving that client. The year 2026 runs five months, and client counts are a group size times a take up rate rather than a typed number. Eight grant programmes are in the model and none is won yet.

$9,180,583 FEES ON THE BOOKS AT THE END	**75.2%** GROSS MARGIN ACROSS THE SIX YEARS	**2031** FIRST YEAR IN PROFIT, ON 23 STAFF	**$3.05M** CASH USED BEFORE PROFIT, AGAINST $5.55M RAISED

15 The raise

$2,050,000

Pre-seed, in five parts. $550,000 is pledged at close.

$3,500,000

Seed round in 2028, raised on ten live clients rather than on a forecast.

All amounts in Canadian dollars

STRUCTURE

Parts one and two, $550,000, pledged

Shares bought at a set price, twenty five and fifty cents each. The share count is known the day the money lands.

Parts three to five, $1,500,000

Three SAFEs of $500,000 each, paid out against named goals rather than dates. 15% off the next price, no warrants.

Behind the plan

A $500,000 loan facility at eight per cent, which we can draw on and which is switched off in every figure here.

Most favoured nation: if a later backer gets better terms, the earlier ones get them too. The price ceiling for each part is in the offering papers, which govern.

WHERE THE MONEY GOES · 2026 AND 2027

Team pay, after tax credits	$632K	31%
Outside build team	$594K	29%
Money held back	$284K	14%
Running costs	$216K	11%
Cost of serving clients	$208K	10%
Sales and marketing	$90K	4%

Two year spend of **$2.02M**. Sales and grants over the same two years bring in $866K, so the pre-seed funds $1.16M.

Source: 4orm Finance master pro forma, base case, in Canadian dollars. Use of funds tab, and every share is worked out from the spend plan rather than typed.

> **We keep the daily proof that a company followed the rules, in the form an inspector asks for.**

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